	2000	2001	2002
Cisco			
Total return (%)	–28.6	–52.7	–27.7
Net earnings ($ millions)	2,668	–1,014	1,893
Sysco			
Total return (%)	53.5	–11.7	15.5
Net earnings ($ millions)	446	597	680

Note: Total returns for calendar year; net earnings for fiscal year.

Source: www.morningstar.com

In the previous four quarters, Yahoo! had racked up $433 million in revenues and $34.9 million in net income. So Yahoo!'s stock was now priced at 263 times revenues and 3,264 times earnings. (Remember that a P/E ratio much above 25 made Graham grimace!)[5]

Why was Yahoo! screaming upward? After the market closed on November 30, Standard & Poor's announced that it would add Yahoo! to its S & P 500 index as of December 7. That would make Yahoo! a compulsory holding for index funds and other big investors—and that sudden rise in demand was sure to drive the stock even higher, at least temporarily. With some 90% of Yahoo!'s stock locked up in the hands of employees, venture-capital firms, and other restricted holders, just a fraction of its shares could trade. So thousands of people bought the stock only because they knew other people would have to buy it—and price was no object.

Meanwhile, Yum! went begging. A former division of PepsiCo that runs thousands of Kentucky Fried Chicken, Pizza Hut, and Taco Bell eateries, Yum! had produced $8 billion in revenues over the previous four quarters, on which it earned $633 million—making it more than 17 times Yahoo!'s size. Yet Yum!'s stock-market value at year-end 1999 was only $5.9 billion, or 1/19 of Yahoo!'s capitalization. At that price, Yum!'s stock was selling at just over nine times its earnings and only 73% of its revenues.[6]

As Graham liked to say, in the short run the market is a voting machine, but in the long run it is a weighing machine. Yahoo! won the short-term popularity contest. But in the end, it's earnings that matter—and Yahoo! barely had any. Once the market stopped voting and started weighing, the